

Trade

Australia in trade

Top five trading partners:

1. China
2. Japan
3. United States
4. Korea
5. Singapore

Top 5 exports

1. Iron Ore
2. Coal
3. Natural gas
4. Education related service
5. Personal travel

Top 5 imports

1. Personal travel services
2. Refined petroleum
3. Passenger motor vehicles
4. Telecom equipment and parts
5. Crude oil

Australia has a natural endowment for land resources. Australia has also specialized in mining sector which allows us to have a competitive advantage. This means that we export more land resources.

Comparative advantage: Opportunity cost is lower to create the good or service. The monetary cost and time invested is less.

Competitive advantage: Not only about opportunity cost but also the quality of the goods and services. 2 direct products or services in competition. More

about businesses rather than trade. For example one country has a far better quality ore than another.

Absolute advantage: For a given amount of resources you can create more of a good or service